

which participate in the digital lending value chain.

While fintechs have led the innovation wave, banks and fintechs are expected to strike up more partnerships in the times ahead to create innovative and collaborative business models.

6. Innovation through Account Aggregators The account aggregator (AA) framework rolled out by the RBI is a potential game changer for the financial services sector, especially banks. The framework is expected to significantly impact the way banks assess creditworthiness, particularly, of

framework is likely to add to this and the banks will have to assimilate it in their client-servicing and decision-making processes.

Making meaningful assessment of the data to acquire and service customers, improving operational efficiency and generating business insights will be critical for the banks. The lenders are likely to increase their focus on gaining insights based on data to enable improved customer profitability, portfolio performance, yields, NIMs and better assessment of risks.

The banks are also expected to invest in building analytical capabilities, create a 'single version

sustain business partnerships for sourcing customers.

9. Cybersecurity Threats If there is one risk that keeps the top brass of banks awake, it is the risk of a cybersecurity breach. While banks have made significant investments over the past few years to become resilient, one cannot be assured that enough has been done. Cybersecurity will continue to be a focus area for banks as they work towards making the architecture more resilient.

10. Regulatory Clarity on ESG Banks are expected to play a critical role in financing the 'green value chain'. Building capabilities and competencies in this area will be critical for the sector to support climate change mitigation and decarbonisation initiatives.

Over the next year, more clarity on regulations is expected to emerge with respect to ESG investments, including norms for governance, social impact, a yardstick for assessment of climate change initiatives, incentives on capital allocation for 'green' projects, and disclosure norms among other aspects. ESG is likely to be an area of focus for banks over the next year as they establish governance standards, build internal competencies and incentives to recognise and reward business performance linked to ESG parameters.

To conclude, banks are expected to build on the transformation initiatives undertaken over the past few years. And sustaining the transformational momentum would be critical for the banks to effectively manage the challenges likely to crop up in the year ahead and be well-poised for growth. The growth opportunity for the banking sector is tremendous. An opportunity too good to lose! **BT**

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88 | As interest rates on deposits and borrowings climb, net interest margins of mid- and small-sized banks are expected to be under pressure

the retail and MSMEs segments. It will make the availability of credit easier for the credit-starved sectors. And banks are likely to leverage the framework to better manage customer relationships through innovative products and pricing, with areas like distribution and wealth management expected to see its impact. Already, some banks have started making the first moves in that direction.

The framework will also exert pressure on banks to engage and retain their profitable customers, as some of them are at risk of being lost to the competition and other non-banking financial services players.

7. Insights from Data Banks are experiencing an avalanche of data generated by the external ecosystem coming their way along with the information gathered by them during the assessment phase. The AA

of truth', and build large data storage capabilities through a data lake as business insights based on data gain prominence.

8. Modernising the Tech Architecture Over the past few years, banks have been focussing on modernising their tech architecture, and they are expected to double down on that in the year ahead.

Agility and flexibility would be the cornerstones of the modern tech architecture, and banks are likely to continue their investments in tech to create an omnichannel experience, customer engagement platforms, and customer management solutions, for the 'next-best conversation,' and digital workflows to create a differentiated customer experience. With the digital ecosystem playing a critical role, agility and flexibility of digital architectures is critical to build, develop and